

have high amounts of debt, some people have low amounts of debt, and some people have no debt. You need to consider all of these kinds of factors when you are making a budget.

The 50/30/20 Rule

The **50/30/20 rule** is a popular budgeting strategy that divides your take-home pay into three categories. Using this method, 50% of your budget goes toward needs (rent, food, insurance, transportation, and other necessities); 30% goes toward wants (entertainment, eating out, and other fun lifestyle choices); and 20% goes toward debt and savings (student loans, your 401(k), and so on). Figure 4.1 is an example of what this kind of budget would look like if you were single and made \$65,000 per year.

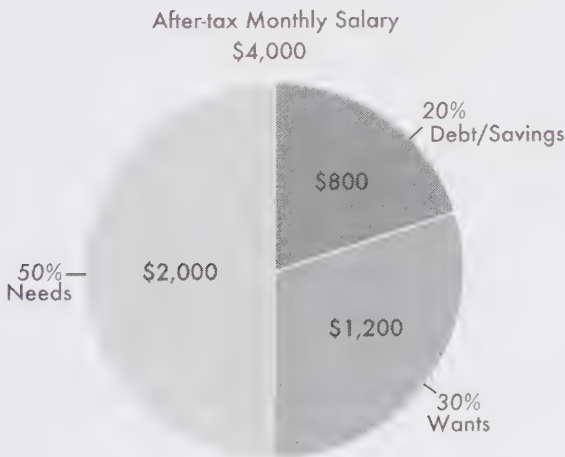


Figure 4.1. Example of a budget that follows the 50/30/20 rule